Investigation: MENDES JUNIOR ENGENHARIA S.A. (CVM code 4782), fiscal year 2023, as it was on 2024-12-31

Statistical signal based on public financial statements. Not an accusation, not investment advice.

Company

Sector: Construção Civil, Mat. Constr. e Decoração (origin: FCA); group: non-financial.
Before 2019, the company was called MENDES JUNIOR ENGENHARIA SA.
Trading codes (2023 FCA, version 1, filed on 2023-05-16): MEND3 (Ações Ordinárias, Balcão Não-Organizado, since —); MEND3 (Ações Ordinárias, Bolsa, since 1977-07-20); MEND5 (Ações Preferenciais, Balcão Não-Organizado, since —); MEND5 (Ações Preferenciais, Bolsa, since 1977-07-20); MEND6 (Ações Preferenciais, Balcão Não-Organizado, since —); MEND6 (Ações Preferenciais, Bolsa, since 1977-07-20).

Document used

2023 DFP, version 1, filed on 2024-03-25; origin: open data; type: individual; original scale: MIL.
Versions known on the date: 1 (2024-03-25).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=135065

Possible manipulation (engine v1, study 1)

Beneish M-score
- Value: −7.603 (index)
- Alert by the study 1 rule: no
- Rule: M > −1.78 (pre-registration, section 4)
- Percentile in sector and year: 1 (n = 46)
- Percentile in group and year: 1 (n = 530)
- The company's own history: median −7.982; Tukey range (1.5 × IQR): from −10.576 to −6.175; value inside the range (index; 5 fiscal years)
- Confidence in the data: medium

DSRI, days' sales in receivables index
- Value: 0.760 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: 18 (n = 48)
- Percentile in group and year: 16 (n = 599)
- The company's own history: median 1.294; Tukey range (1.5 × IQR): from 0.342 to 2.442; value inside the range (index; 5 fiscal years)
- Confidence in the data: medium

GMI, gross margin index
- Value: 0.924 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: 32 (n = 48)
- Percentile in group and year: 30 (n = 609)
- The company's own history: median 1.047; Tukey range (1.5 × IQR): from 0.845 to 1.340; value inside the range (index; 5 fiscal years)
- Confidence in the data: medium

AQI, asset quality index
- Value: 1.003 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: 49 (n = 48)
- Percentile in group and year: 53 (n = 610)

The company's own history: median 1.000; Tukey range (1.5 × IQR): from 1.000 to 1.001; value above the range (index; 5 fiscal years)
Confidence in the data: medium

SGI, sales growth index
Value: 1.095 (index)
M-score component; it has no rule of its own
Percentile in sector and year: 47 (n = 48)
Percentile in group and year: 54 (n = 610)
The company's own history: median 0.825; Tukey range (1.5 × IQR): from 0.164 to 1.406; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

DEPI, depreciation index
Value: 0.244 (index)
M-score component; it has no rule of its own
Percentile in sector and year: 3 (n = 47)
Percentile in group and year: 2 (n = 549)
The company's own history: median 0.980; Tukey range (1.5 × IQR): from 0.978 to 0.982; value below the range (index; 5 fiscal years)
Confidence in the data: medium

SGAI, SG&A expenses index
Value: 0.597 (index)
M-score component; it has no rule of its own
Percentile in sector and year: 7 (n = 48)
Percentile in group and year: 7 (n = 606)
The company's own history: median 1.290; Tukey range (1.5 × IQR): from 0.384 to 2.391; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

TATA, total accruals to total assets
Value: −1.049 (index)
M-score component; it has no rule of its own
Percentile in sector and year: 1 (n = 49)
Percentile in group and year: 1 (n = 628)
The company's own history: median −1.179; Tukey range (1.5 × IQR): from −1.656 to −0.890; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

LVGI, leverage index
Value: 1.067 (index)
M-score component; it has no rule of its own
Percentile in sector and year: 64 (n = 49)
Percentile in group and year: 73 (n = 619)
The company's own history: median 1.101; Tukey range (1.5 × IQR): from 0.967 to 1.205; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

DPO jump
Value: 260.0 days
Alert by the study 1 rule: yes
Rule: DPO change in the year's top decile among non-financial companies (≥ 90th percentile of computable values on the date: 25.7 days)
Percentile in sector and year: 97 (n = 48)
Percentile in group and year: 99 (n = 591)

The company's own history: median 3.8 days; Tukey range (1.5 × IQR): from −247.1 days to 294.3 days; value inside the range (5 fiscal years)
Confidence in the data: medium
Alternative explanations: Bargaining power with suppliers and a change in purchase mix (decision of 2026-11-07)

Implied interest rate minus average CDI
Value: −10.38 p.p.
Alert by the study 1 rule: no
Rule: implied interest rate above the year's average CDI rate + 10 p.p. (pre-registration, section 4)
Percentile in sector and year: 8 (n = 46)
Percentile in group and year: 5 (n = 588)
The company's own history: median 1.87 p.p.; Tukey range (1.5 × IQR): from −14.31 p.p. to 15.23 p.p.; value inside the range (5 fiscal years)
Confidence in the data: medium
Alternative explanations: Expensive debt, exchange differences and lease interest inside finance costs (decision of 2026-11-07)

Accruals to average total assets
Value: −1.044 (index)
Alert by the study 1 rule: does not trigger alerts
Percentile in sector and year: 1 (n = 49)
Percentile in group and year: 1 (n = 627)
The company's own history: median −1.179; Tukey range (1.5 × IQR): from −1.652 to −0.892; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

Financial risk (context only)

Altman Z" (financial risk, context only)
Value: −87.765 (index)
Components: X1 = −3.002; X2 = −19.165; X3 = −0.685; X4 = −0.944 (indices)
Percentile in sector and year: 1 (n = 49)
The company's own history: median −65.241; Tukey range (1.5 × IQR): from −99.958 to −31.220; value inside the range (index; 5 fiscal years)
- No cut-off zone: the available source does not define zones for Z"
- Coefficients estimated outside Brazil; bankruptcy models lose validity over time (Pereira and Martins 2015, p. 25)

Financial quality (context only)

Piotroski F (financial quality, context only)
Value: F = 4/9 (8 computable)
Signals:
  - Return on assets (ROA): 0
  - Operating cash flow on assets (CFO): 0
  - Change in ROA (ΔROA): 1
  - Cash above earnings (ACCRUAL): 1
  - Change in leverage (ΔLEVER): 0
  - Change in current ratio (ΔLIQUID): 0
  - No equity issuance (EQ_OFFER): —
  - Change in gross margin (ΔMARGIN): 1
  - Change in asset turnover (ΔTURN): 1
- No equity issuance (EQ_OFFER), from the cash flow statement: 6.03 lines of the frozen "emissões" pattern (reconnaissance, part 4.2), only those about shares or capital, as the

article defines it ("did not issue common equity", p. 9); adaptation: preferred shares also count, because in Brazil they are equity, and the line is identified by text in the cash flow statement

Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

What was known on the date

- DFP 2018, v1: 2019-03-28
- DFP 2018, v2: 2019-04-15
- DFP 2019, v1: 2020-03-30
- DFP 2020, v1: 2021-03-30
- DFP 2020, v2: 2021-04-01
- DFP 2021, v1: 2022-03-29
- DFP 2022, v1: 2023-03-27
- FCA 2023, v1: 2023-05-16
- DFP 2023, v1: 2024-03-25

DFP and FCA filed with the CVM by the reference date; ITR and material facts come in later phases.

Data quality

53 applicable checks; 0 failed.

Auditor's report and auditor (factual section; no alert)

Auditor's report: Negativa de Opinião (disclaimer of opinion).
no opinion excerpt was found in the text
Auditor in the 2021 FCA: ORPLAN Auditores Independentes.
Auditor in the 2022 FCA: ORPLAN Auditores Independentes, RSM Brasil Auditores Independentes - Sociedade Simples.
Auditor in the 2023 FCA: ORPLAN Auditores Independentes, RSM Brasil Auditores Independentes - Sociedade Simples.
Auditor changes (one line per change, canonical name by the firm's CVM code):

- 2011: entry of KPMG Auditores Independentes, with no other firm leaving.
- 2012: BDO Trevisan Auditores Independentes -> BDO RCS Auditores Independentes SS. The outgoing firm audited 4 consecutive fiscal years (2007 to 2010), by the start and end dates in the FCA.
- 2012: exit of KPMG Auditores Independentes, with no other firm entering. The FCA does not have the dates needed to count the outgoing firm's fiscal years.
- 2017: BDO RCS Auditores Independentes SS -> ORPLAN Auditores Independentes (transition: two firms in the 2017 FCA). The outgoing firm audited 5 consecutive fiscal years (2012 to 2016), by the start and end dates in the FCA. The change coincides with the end of the 5-fiscal-year term and is compatible with the rotation rule (art. 31 of CVM Instruction No. 308/1999, in force when the new firm started).
- 2022: entry of RSM Brasil Auditores Independentes - Sociedade Simples, with no other firm leaving.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-

years (docs/summary.md).

Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 38 DFP lines, each with document, version, filing date, account and location.

Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a E).
Generated at 2026-11-11T00:51:50+00:00.

Today's information (outside the reference date)

Registry status: ATIVO. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: MENDES JUNIOR ENGENHARIA SA.